



Neuland Laboratories Ltd.

Equity Research & Valuation Report

Equity Research Report | DCF Valuation | Peer Comparison | Investment Thesis



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EXECUTIVE SUMMARY

Neuland Laboratories Ltd. is a Hyderabad-based pharmaceutical company focused on Active Pharmaceutical Ingredients (APIs) and Contract Development & Manufacturing Organization (CDMO) services. The company benefits from increasing global pharmaceutical outsourcing, the China+1 sourcing trend, and growing demand for complex APIs and peptide-based therapies.

INVESTMENT HIGHLIGHTS

- Strong presence in high-value API and CDMO segments.
- Consistently healthy return ratios with FY26 ROCE above 25%.
- Growing cash reserves and conservative leverage profile.
- Expansion of peptide manufacturing capabilities supports future growth.
- Revenue increased from ₹951 Cr in FY22 to ₹2,023 Cr in FY26.

CONCLUSION

Neuland Laboratories remains a fundamentally strong pharmaceutical company with healthy profitability, strong returns on capital, and a conservative balance sheet. Despite strong business fundamentals, the current market valuation appears to reflect significantly higher growth expectations than those assumed in this valuation model.

COMPANY OVERVIEW

COMPANY SNAPSHOT

Company Name	Neuland Laboratories Ltd.
Founded	1984
Headquartered in	Hyderabad, India
Employees	~2,100
Industry	Pharmaceuticals
Business Model	API & CDMO
Market Cap	₹21,842 Cr
Current Share Price	₹ 17,016

KEY RISKS

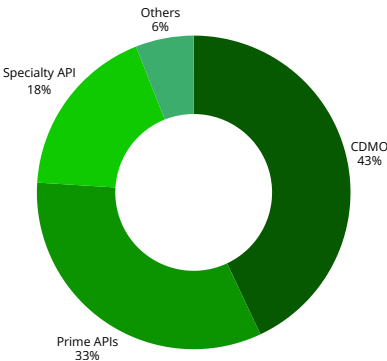
- Revenue volatility due to customer order cycles.
- Regulatory and compliance risks.
- Margin pressure from raw material cost fluctuations.

VALUATION SUMMARY

DCF Intrinsic Value	₹5,879 per share
Current Market Price	₹17,016 per share
Methodology	DCF Valuation supported by Peer Comparison Analysis
Scenario Range	₹3,950 – ₹8,420 per share

REVENUE MIX FY25

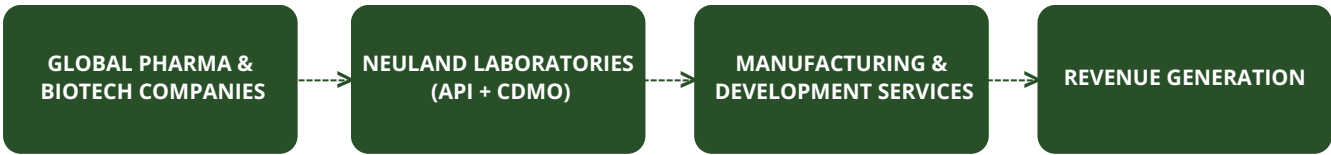
Segment	Revenue Contribution FY25
CDMO	43%
Prime APIs	33%
Specialty APIs	18%
Others	6%



BUSINESS SEGMENTS

Segment	Description
Generic APIs	Established pharmaceutical ingredients
Specialty APIs	High-value complex APIs
CDMO	Contract development & manufacturing services

BUSINESS MODEL FLOWCHART



Neuland Laboratories is an API and CDMO-focused pharmaceutical company serving global pharmaceutical and biotechnology customers. The company specializes in complex APIs, custom synthesis, and contract manufacturing services. Its diversified business model and long-standing customer relationships position it to benefit from increasing pharmaceutical outsourcing, China+1 sourcing diversification, and growing demand for specialty molecules.

INDUSTRY ANALYSIS

INDUSTRY OVERVIEW

- **Pharma Industry:** India is one of the world's largest pharmaceutical producers by volume and a major supplier of generic medicines globally.
- **API Industry:** APIs are the key active ingredients in drugs. Increasing global demand and supply-chain diversification are creating growth opportunities for Indian API manufacturers.
- **CDMO Industry:** CDMOs provide outsourced drug development and manufacturing services. The sector is growing as pharmaceutical companies focus on R&D while outsourcing production.

COMPETITIVE ADVANTAGE OF INDIA

- **Cost Advantage:** Lower manufacturing costs compared with developed markets.
- **Skilled Workforce:** Large pool of scientists, engineers, and pharmaceutical professionals.
- **Regulatory Compliance:** Strong presence of USFDA and EU-approved facilities.

INVESTMENT HIGHLIGHTS

- Strong positioning in API and CDMO segments with diversified revenue streams.
- Beneficiary of the China+1 sourcing diversification trend.
- Expanding peptide manufacturing capabilities support future growth.
- FY26 revenue reached ₹2,023 Cr, reflecting strong business momentum.
- ROCE of 26.6% highlights efficient capital allocation and operational strength.
- Long-term demand supported by increasing pharmaceutical outsourcing.

GROWTH DRIVERS

- **China+1:** Global pharma companies are diversifying sourcing away from China, benefiting Indian manufacturers.
- **Outsourcing:** Drug companies increasingly outsource manufacturing to reduce costs and improve efficiency.
- **Innovation in Drugs:** Growth in complex molecules and specialty drugs increases demand for advanced manufacturing capabilities.
- **Peptides:** Rising demand for peptide-based therapies supports long-term industry growth.

RISKS

- **Regulatory:** Compliance failures can result in warning letters or import restrictions.
- **Geopolitical:** Trade disruptions and policy changes may affect exports.
- **Supply Chain:** Dependence on imported raw materials can impact production.
- **Quality Issues:** Product recalls or manufacturing failures can damage reputation.
- **Customer Concentration:** Dependence on key clients may create revenue volatility.

INDUSTRY OUTLOOK

The Indian API and CDMO industries are expected to benefit from increasing pharmaceutical outsourcing, China+1 diversification strategies, and growing demand for complex molecules and peptide-based therapies. These trends provide a favorable long-term growth environment for companies such as Neuland Laboratories.

HISTORICAL FINANCIAL PERFORMANCE

INCOME STATEMENT					
All figures in ₹ Crore unless otherwise stated					
Year	FY22	FY23	FY24	FY25	FY26
Revenue	951	1,191	1,559	1,477	2,023
Operating Profit	144	273	463	331	574
Net Profit	64	164	300	260	364
EPS	49.74	127.45	233.89	202.74	283.71

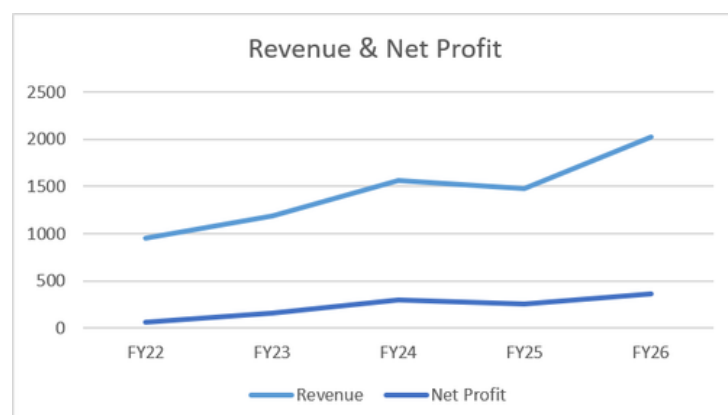
CASH FLOW STATEMENT					
Year	FY22	FY23	FY24	FY25	FY26
CFO (Operating Cash Flow)	60	237	261	317	347
Capex	-98	-66	-144	-206	-397
Free Cash Flow	-38	171	117	111	-50

BALANCE SHEET					
Year	FY22	FY23	FY24	FY25	FY26
Total Assets	1,383	1,580	1,833	2,180	2,930
Borrowings	241	128	95	157	301
Shareholders' Equity	841	994	1,283	1,525	1,875
Cash & Equivalents	20	59	117	259	355

Data Source: Historical financial data extracted from Screener.in and cross-verified with annual reports where required. Figures in ₹ Crore.

FINANCIAL PERFORMANCE SUMMARY

- Revenue increased from ₹951 Cr in FY22 to ₹2,023 Cr in FY26.
- Operating profit increased from ₹144 Cr to ₹574 Cr.
- Net profit increased from ₹64 Cr to ₹364 Cr.
- Total assets expanded from ₹1,383 Cr to ₹2,930 Cr.
- Cash reserves increased from ₹20 Cr to ₹355 Cr while leverage remained moderate.



OBSERVATIONS

- Revenue more than doubled between FY22 and FY26.
- Operating profitability improved significantly due to operating leverage and favorable business mix.
- Net profit growth outpaced revenue growth, reflecting margin expansion.
- Asset growth reflects continued investment in manufacturing capabilities.
- Strong cash generation supported an increase in cash reserves despite ongoing expansion.

KEY TAKEAWAY

Despite temporary moderation in FY25, Neuland delivered a strong recovery in FY26, indicating that the slowdown was cyclical rather than structural.

RATIO ANALYSIS

Year	FY22	FY23	FY24	FY25	FY26
Growth					
Revenue Growth %	-	25%	31%	-5%	37%
Net Profit growth	-	156%	83%	-13%	40%
Margin					
Operating Margin%	15%	23%	30%	22%	28%
Net Profit Margin%	7%	14%	19%	18%	18%
Leverage					
Debt-to-equity	0.287	0.129	0.074	0.103	0.161
Asset Efficiency					
Asset Growth	-	14%	16%	19%	34%
Return Ratios					
ROE	8%	16%	23%	17%	19%
ROA	5%	10%	16%	12%	12%

RATIO ANALYSIS SUMMARY

- **Profitability:** Operating margin improved from 15% in FY22 to 28% in FY26, while net profit margin expanded from 7% to 18%.
- **Leverage:** Debt-to-equity remained below 0.30x throughout the period, indicating a conservative capital structure.
- **Efficiency:** Asset growth accelerated from 14% in FY23 to 34% in FY26 as the company expanded manufacturing capacity.
- **Returns:** ROE improved from 8% to 24%, while ROA increased from 5% to 12%, reflecting improved capital efficiency.

The historical financial performance and ratio trends support the use of a discounted cash flow valuation framework to estimate intrinsic value.

PEER COMPARISON

Company	Market Cap (₹ Cr)	P/E	ROE (%)	ROCE (%)	Revenue Growth (%)
Neuland Labs	21842	60.2	19%	26.6	37%
Divi's Labs	1,76,558	67.3	16.5%	22	19.31%
Syngene	17,715	47.2	7.86 %	10.1	4.41%
Laurus Labs	73,363	82	18.3 %	17.8	10.18%
Torrent Pharma	1,50,104	68.64	27.4 %	15.2	7.35%
Peer Average	116168	65.1	18%	21.3	16%

KEY TAKEAWAYS

- Neuland generates one of the highest ROCE figures among peers.
- FY26 revenue growth outpaced most comparable companies.
- The stock trades at a valuation below some premium peers despite superior capital efficiency.
- The market appears to be pricing in uncertainty regarding future growth sustainability.

DCF VALUATION

Assumption	FY27	FY28	FY29	FY30	FY31
Revenue Growth	15%	13%	11%	10%	8%
Operating Margin	27%	27%	28%	28%	28%

Year	FY27	FY28	FY29	FY30	FY31
Revenue	2326.45	2628.89	2918.07	3209.87	3466.66
Operating Profit	628.14	709.80	817.06	898.76	970.67
Tax	25%	25%	25%	25%	25%
After-Tax Operating Profit	471.11	532.35	612.79	674.07	728.00
Free Cash Flow	471.11	532.35	612.79	674.07	728.00

Year	FY27	FY28	FY29	FY30	FY31
Free Cash Flow	471.11	532.35	612.79	674.07	728.00
Discount Factor	0.8929	0.7972	0.7118	0.6355	0.5674
Present Value	420.63	424.39	436.17	428.39	413.09

Assumption	Value
Tax Rate	25%
Discount Rate	12%
Terminal Growth Rate	4%

Terminal Value Calculation	Value
FCF FY31	757.119
Terminal Value	9463.989
PV of Terminal Value	5370.122

Market Data	Value
Current Share Price (₹)	₹ 17,016.00
Market Capitalization (₹ Cr)	₹ 21,842.00

Enterprise Value: ₹7,493 Cr

Equity Value: ₹7,547 Cr

Intrinsic Value: ₹5,879/share

DCF Summary	Value
PV of Forecast Cash Flows	2,122.66
PV of Terminal Value	5370.122
Enterprise Value	7,492.78
Add: Cash	355
Less: Debt	301
Equity Value	7,546.78
Shares Outstanding (Cr)	1.2836
Intrinsic Value Per Share (₹)	5879

DCF SUMMARY

Based on the base-case assumptions, the DCF model estimates an intrinsic value of ₹5,879 per share. The valuation remains below the current market price, suggesting that investors appear to be pricing in stronger future growth and profitability than assumed in this analysis.

SENSITIVITY ANALYSIS

Assumption	Bear	Base	Bull
FY27 Growth	10%	15%	20%
FY28 Growth	8%	13%	18%
FY29 Growth	7%	11%	16%
FY30 Growth	6%	10%	14%
FY31 Growth	5%	8%	12%
Terminal Growth	3%	4%	5%
Discount Rate	13%	12%	10%
Intrinsic Value	3950	5879	8420
Current Price	17,016	17,016	17,016
Upside/(Downside)	-77%	-65%	-51%

SENSITIVITY ANALYSIS CONCLUSION

Across all valuation scenarios, the estimated intrinsic value remains below the current market price of ₹17,016 per share. Even under optimistic assumptions, the estimated intrinsic value remains below the current market price, suggesting that investors are pricing in stronger long-term growth and profitability than assumed in this analysis.

INVESTMENT THESIS & RISKS

KEY STRENGTHS

- Strong position in API and CDMO segments.
- Growing peptide manufacturing capabilities.
- Low debt levels.
- Increasing cash reserves.
- Strong ROE and ROA.
- Historically improving margins.

KEY RISKS

- Revenue volatility.
- Dependence on customer demand cycles.
- Regulatory and compliance risks.
- Margin pressure from raw material costs.
- Execution risk related to capacity expansion.

INVESTMENT VIEW

Neuland Laboratories remains a fundamentally strong pharmaceutical company with attractive profitability, healthy returns on capital, and a conservative balance sheet. The company delivered a strong recovery in FY26 following a temporary moderation in FY25. While Neuland Laboratories demonstrates strong business fundamentals and attractive long-term industry positioning, the current market valuation appears to incorporate significantly stronger growth expectations than those reflected in the base-case valuation assumptions.

FINAL CONCLUSION

This report valued Neuland Laboratories using both Discounted Cash Flow (DCF) and Comparable Valuation methodologies. The company demonstrates strong business fundamentals, healthy profitability metrics, efficient capital allocation, and attractive long-term exposure to the API and CDMO industries.

The DCF analysis estimates an intrinsic value of approximately ₹5,879 per share, compared to the current market price of ₹17,016 per share. Sensitivity analysis across bear, base, and bull scenarios yielded a valuation range of ₹3,950–₹8,420 per share. This suggests that the market is currently pricing in significantly stronger growth and profitability expectations than those assumed in the base-case valuation model.

While Neuland Laboratories remains a high-quality business with favorable long-term industry tailwinds, investors should continue monitoring CDMO order inflows, capacity expansion execution, regulatory developments, and margin sustainability.

DISCLAIMER

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